APPLIED MATERIALS®

2023

ANNUAL REPORT

APPLIED MATERIALS, INC.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except per share amounts)

Fiscal Year	2023	2022	2021
Net sales	$ 26,517	$ 25,785	$ 23,063
Cost of products sold	14,133	13,792	12,149
Gross profit	12,384	11,993	10,914
Operating expenses:			
Research, development and engineering	3,102	2,771	2,485
Marketing and selling	776	703	609
General and administrative	852	735	620
Severance and related charges	—	(4)	157
Deal termination fee	—	—	154
Total operating expenses	4,730	4,205	4,025
Income from operations	7,654	7,788	6,889
Interest expense	238	228	236
Interest and other income (expense), net	300	39	118
Income before income taxes	7,716	7,599	6,771
Provision for income taxes	860	1,074	883
Net income	$ 6,856	$ 6,525	$ 5,888
Earnings per share:			
Basic	$ 8.16	$ 7.49	$ 6.47
Diluted	$ 8.11	$ 7.44	$ 6.40
Weighted average number of shares:			
Basic	840	871	910
Diluted	845	877	919

See accompanying Notes to Consolidated Financial Statements.

APPLIED MATERIALS, INC.

CONSOLIDATED BALANCE SHEETS

(In millions, except per share amounts)

	October 29, 2023	October 30, 2022
ASSETS		
Current assets:		
Cash and cash equivalents	$ 6,132	$ 1,995
Short-term investments	737	586
Accounts receivable, net	5,165	6,068
Inventories	5,725	5,932
Other current assets	1,388	1,344
Total current assets	19,147	15,925
Long-term investments	2,281	1,980
Property, plant and equipment, net	2,723	2,307
Goodwill	3,732	3,700
Purchased technology and other intangible assets, net	294	339
Deferred income taxes and other assets	2,552	2,475
Total assets	$ 30,729	$ 26,726
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Short-term debt	$ 100	$ —
Accounts payable and accrued expenses	4,297	4,237
Contract liabilities	2,975	3,142
Total current liabilities	7,372	7,379
Long-term debt	5,461	5,457
Income taxes payable	833	964
Other liabilities	714	732
Total liabilities	14,380	14,532
Commitments and contingencies (Note 15)		
Stockholders' equity:		
Preferred stock: $0.01 par value per share; 1 shares authorized; no shares issued	—	—
Common stock: $0.01 par value per share; 2,500 shares authorized; 833 and 844 shares outstanding at 2023 and 2022, respectively	8	8
Additional paid-in capital	9,131	8,593
Retained earnings	43,726	37,892
Treasury stock: 1,191 and 1,173 shares at 2023 and 2022, respectively	(36,299)	(34,097)
Accumulated other comprehensive loss	(217)	(202)
Total stockholders' equity	16,349	12,194
Total liabilities and stockholders' equity	$ 30,729	$ 26,726

See accompanying Notes to Consolidated Financial Statements.

APPLIED MATERIALS, INC.

CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY

(In millions, except per share amounts)

	Common Stock		Additional Paid-In Capital	Retained Earnings	Treasury Stock		Accumulated Other Comprehensive Income (Loss)	Total
	Shares	Amount			Shares	Amount		
Balance at October 25, 2020	914	$ 9	$ 7,904	$ 27,209	1,091	$ (24,245)	$ (299)	$ 10,578
Net income	—	—	—	5,888	—	—	—	5,888
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	39	39
Dividends declared ($0.94 per common share)	—	—	—	(851)	—	—	—	(851)
Share-based compensation	—	—	346	—	—	—	—	346
Net issuance under stock plans	6	—	(3)	—	—	—	—	(3)
Common stock repurchases	(28)	—	—	—	28	(3,750)	—	(3,750)
Balance at October 31, 2021	892	$ 9	$ 8,247	$ 32,246	1,119	$ (27,995)	$ (260)	$ 12,247
Net income	—	—	—	6,525	—	—	—	6,525
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	58	58
Dividends declared ($1.02 per common share)	—	—	—	(879)	—	—	—	(879)
Share-based compensation	—	—	413	—	—	—	—	413
Net issuance under stock plans	6	—	(67)	—	—	—	—	(67)
Common stock repurchases	(54)	(1)	—	—	54	(6,102)	—	(6,103)
Balance at October 30, 2022	844	$ 8	$ 8,593	$ 37,892	1,173	$ (34,097)	$ (202)	$ 12,194
Net income	—	—	—	6,856	—	—	—	6,856
Other comprehensive income (loss), net of tax	—	—	—	—	—	—	(15)	(15)
Dividends declared ($1.22 per common share)	—	—	—	(1,022)	—	—	—	(1,022)
Share-based compensation	—	—	490	—	—	—	—	490
Net issuance under stock plans	7	—	48	—	—	—	—	48
Common stock repurchases	(18)	—	—	—	18	(2,202)	—	(2,202)
Balance at October 29, 2023	833	$ 8	$ 9,131	$ 43,726	1,191	$ (36,299)	$ (217)	$ 16,349

See accompanying Notes to Consolidated Financial Statements.

APPLIED MATERIALS, INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)

Fiscal Year	2023	2022	2021
Cash flows from operating activities:			
Net income	$ 6,856	$ 6,525	$ 5,888
Adjustments required to reconcile net income to cash provided by operating activities:			
Depreciation and amortization	515	444	394
Severance and related charges	—	(4)	148
Deferred income taxes	24	(223)	80
Other	40	36	(70)
Share-based compensation	490	413	346
Changes in operating assets and liabilities, net of amounts acquired:			
Accounts receivable	903	(1,109)	(1,989)
Inventories	207	(1,590)	(405)
Other current and non-current assets	(48)	(16)	(602)
Accounts payable and accrued expenses	(138)	390	465
Contract liabilities	(167)	1,039	755
Income taxes payable	(20)	(541)	396
Other liabilities	38	35	36
Cash provided by operating activities	8,700	5,399	5,442
Cash flows from investing activities:			
Capital expenditures	(1,106)	(787)	(668)
Cash paid for acquisitions, net of cash acquired	(25)	(441)	(12)
Proceeds from sales and maturities of investments	1,268	1,363	1,471
Purchases of investments	(1,672)	(1,492)	(2,007)
Cash used in investing activities	(1,535)	(1,357)	(1,216)
Cash flows from financing activities:			
Proceeds from commercial paper	991	—	—
Repayments of commercial paper	(900)	—	—
Proceeds from common stock issuances	227	199	175
Common stock repurchases	(2,189)	(6,103)	(3,750)
Tax withholding payments for vested equity awards	(179)	(266)	(178)
Payments of dividends to stockholders	(975)	(873)	(838)
Repayments of principals on finance leases	(7)	—	—
Cash used in financing activities	(3,032)	(7,043)	(4,591)
Increase (decrease) in cash, cash equivalents and restricted cash equivalents	4,133	(3,001)	(365)
Cash, cash equivalents and restricted cash equivalents — beginning of period	2,100	5,101	5,466
Cash, cash equivalents and restricted cash equivalents — end of period	$ 6,233	$ 2,100	$ 5,101
Reconciliation of cash, cash equivalents, and restricted cash equivalents			
Cash and cash equivalents	$ 6,132	$ 1,995	$ 4,995
Restricted cash equivalents included in deferred income taxes and other assets	101	105	106
Total cash, cash equivalents, and restricted cash equivalents	$ 6,233	$ 2,100	$ 5,101
Supplemental cash flow information:			
Cash payments for income taxes	$ 1,006	$ 1,869	$ 851
Cash refunds from income taxes	$ 53	$ 156	$ 27
Cash payments for interest	$ 205	$ 205	$ 205

See accompanying Notes to Consolidated Financial Statements.

Note 1 Summary of Significant Accounting Policies

Inventories

Inventories are stated at the lower of cost or net realizable value, with cost determined on a first-in, first-out (FIFO) basis. We adjust inventory carrying value for estimated obsolescence equal to the difference between the cost of inventory and the estimated net realizable value based upon assumptions about future demand and market conditions. We fully write down inventories and noncancelable purchase orders for inventory deemed obsolete. We perform periodic reviews of inventory items to identify excess inventories on hand by comparing on-hand balances to anticipated usage using recent historical activity as well as anticipated or forecasted demand. If estimates of customer demand diminish further or market conditions become less favorable than those projected by us, additional inventory adjustments may be required.

Note 3 Cash, Cash Equivalents and Investments

Summary of Cash, Cash Equivalents and Investments

The following tables summarize our cash, cash equivalents and investments by security type:

October 29, 2023	Cost	Gross Unrealized Gains	Gross Unrealized Losses	Estimated Fair Value
	(In millions)			
Cash	$ 1,417	$ —	$ —	$ 1,417
Cash equivalents:				
Money market funds*	3,260	—	—	3,260
Municipal securities	26	—	—	26
Commercial paper, corporate bonds and medium-term notes	1,429	—	—	1,429
Total cash equivalents	4,715	—	—	4,715
Total cash and cash equivalents	$ 6,132	$ —	$ —	$ 6,132
Short-term and long-term investments:				
Bank certificates of deposit and time deposits	$ 18	$ —	$ —	$ 18
U.S. Treasury and agency securities	381	—	7	374
Non-U.S. government securities**	7	—	1	6
Municipal securities	438	—	11	427
Commercial paper, corporate bonds and medium-term notes	760	—	12	748
Asset-backed and mortgage-backed securities	502	—	15	487
Total fixed income securities	2,106	—	46	2,060
Publicly traded equity securities	543	171	16	698
Equity investments in privately held companies	192	78	10	260
Total equity investments	735	249	26	958
Total short-term and long-term investments	$ 2,841	$ 249	$ 72	$ 3,018
Total cash, cash equivalents and investments	$ 8,973	$ 249	$ 72	$ 9,150

*Excludes $101 million of restricted cash equivalents invested in money market funds related to deferred compensation plans.
**Includes Canadian provincial government debt.

October 30, 2022	Cost	Gross Unrealized Gains	Gross Unrealized Losses	Estimated Fair Value
		(In millions)		
Cash	$ 1,199	$ —	$ —	$ 1,199
Cash equivalents:				
Money market funds*	660	—	—	660
U.S. Treasury and agency securities	4	—	—	4
Municipal securities	13	—	—	13
Commercial paper, corporate bonds and medium-term notes	119	—	—	119
Total cash equivalents	796	—	—	796
Total cash and cash equivalents	$ 1,995	$ —	$ —	$ 1,995
Short-term and long-term investments:				
Bank certificates of deposit	$ 7	$ —	$ —	$ 7
U.S. Treasury and agency securities	435	—	13	422
Non-U.S. government securities**	7	—	1	6
Municipal securities	389	—	16	373
Commercial paper, corporate bonds and medium-term notes	595	—	21	574
Asset-backed and mortgage-backed securities	432	—	19	413
Total fixed income securities	1,865	—	70	1,795
Publicly traded equity securities	85	63	26	122
Equity investments in privately held companies	567	86	4	649
Total equity investments	652	149	30	771
Total short-term and long-term investments	$ 2,517	$ 149	$ 100	$ 2,566
Total cash, cash equivalents and investments	$ 4,512	$ 149	$ 100	$ 4,561

*Excludes $105 million of restricted cash equivalents invested in money market funds related to deferred compensation plans.
**Includes Canadian provincial government debt.

During fiscal 2023, 2022 and 2021, interest income from our cash, cash equivalents and fixed income securities was $262 million, $44 million and $26 million, respectively.

Note 6 Accounts Receivable, Net

Accounts receivable are presented net of allowance for credit losses of $29 million at October 29, 2023 and October 30, 2022. Changes in allowance for credit losses in fiscal 2023, 2022 and 2021 were not material.

	Useful Life	October 29, 2023	October 30, 2022
	(In years)	(In millions)	
Property, Plant and Equipment, Net			
Land and improvements		$ 393	$ 387
Buildings and improvements	3-30	2,194	2,027
Demonstration and manufacturing equipment	3-5	2,353	2,083
Furniture, fixtures and other equipment	3-5	762	743
Construction in progress		672	389
Gross property, plant and equipment		6,374	5,629
Accumulated depreciation		(3,651)	(3,322)
		$ 2,723	$ 2,307

Depreciation expense was $471 million, $404 million and $345 million for fiscal 2023, 2022 and 2021, respectively.

Intangible Assets

Details of intangible assets other than goodwill were as follows:

	October 29, 2023			October 30, 2022		
	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount
	(In millions)					
Intangible assets with finite lives:						
Semiconductor Systems Group	$ 2,001	$ (1,714)	$ 287	$ 1,985	$ (1,675)	$ 310
Applied Global Services	79	(78)	1	79	(77)	2
Display and Adjacent Markets	194	(194)	—	194	(194)	—
Corporate & Other	36	(30)	6	36	(26)	10
Total intangible assets with finite lives	$ 2,310	$ (2,016)	$ 294	$ 2,294	$ (1,972)	$ 322
Intangible assets with infinite lives:						
Semiconductor Systems Group	$ —	$ —	$ —	$ 16	$ —	$ 16
Corporate & Other	—	—	—	1	—	1
Total intangible assets with infinite lives	$ —	$ —	$ —	$ 17	$ —	$ 17
Total intangible assets	$ 2,310	$ (2,016)	$ 294	$ 2,311	$ (1,972)	$ 339

Senior Unsecured Notes

Debt outstanding as of October 29, 2023 and October 30, 2022 was as follows:

	Principal Amount		
	October 29, 2023	October 30, 2022	Effective Interest Rate
	(In millions)		
Long-term debt:			
3.900% Senior Notes Due 2025	$ 700	$ 700	3.944%
3.300% Senior Notes Due 2027	1,200	1,200	3.342%
1.750% Senior Notes Due 2030	750	750	1.792%
5.100% Senior Notes Due 2035	500	500	5.127%
5.850% Senior Notes Due 2041	600	600	5.879%
4.350% Senior Notes Due 2047	1,000	1,000	4.361%
2.750% Senior Notes Due 2050	750	750	2.773%
	5,500	5,500	
Total unamortized discount	(11)	(12)	
Total unamortized debt issuance costs	(28)	(31)	
Total long-term debt	$ 5,461	$ 5,457	

At October 29, 2023, the aggregate principal of long-term senior unsecured notes issued by us was $5.5 billion with an estimated fair value of $4.7 billion.